BUSINESS REALITY ASSESSMENT & Cumulative Net Loss Analysis

Internal Strategic Planning Document — As of June 20, 2026

EXECUTIVE SUMMARY: The business is currently in a **pre-revenue, non-operational distressed state**. There is **zero cash flow**, **no booked events or projects**, and **no active digital presence** (website, social media, or business listings are not live). Leadership presence is minimal: the Owner is absent, and the President has no dedicated office and is not running meetings or actively developing talent. The studio has been relying on equipment and engineering services from an external contractor (Colin) who is departing at the end of June 2026. The operation currently carries **only liabilities** with no offsetting revenue.

This report documents the current factual state and quantifies the cumulative labor opportunity cost (valued at the specified $25/person/hour rate) from January 1, 2026 through June 20, 2026.

KEY FINANCIAL METRICS AT A GLANCE

Metric	Value	Notes
Cumulative Labor Burn (6 people)	**$146,580**	Jan 1 – Jun 20, 2026 (24.43 weeks)
Average Weekly Burn Rate	**$4,000**	6 people × $1,000/week
Revenue Generated (same period)	**$0**	No events, no projects booked
Net Operating Position	**($146,580) Net Loss**	Labor valuation only; additional liabilities exist
Online / Digital Presence	**NONE**	Website, social, listings not active

■ CRITICAL: This document presents hard facts for planning purposes. The current trajectory is not sustainable. Major decisions regarding leadership, structure, assets (Colin's gear), and go-forward strategy are required immediately.

EXPANDED FINANCIAL POSITION — CURRENT LIABILITIES

Important clarification: No moneys has been paid as agreed for the products produced. Therefore, the following items are classified as **current liabilities** rather than assets or opportunity costs only:

Item	Amount	Notes
Labor-related accrued liabilities (6 people)	**($146,580)**	Unpaid / accrued since Jan 1, 2026 — no cash paid as agreed
Tools & equipment unpaid liability	**($20,000)**	Additional current liability — tools/equipment

Amounts due for products produced (sound recordings)	**($146,580)**	No payment made as agreed for produced recordings/products — current liability
TOTAL CURRENT LIABILITIES	**($313,160)**	**Labor + tools + unpaid amounts for products produced**

Critical: *Because no moneys has been paid as agreed for the products produced, there is no offsetting asset from the sound recordings. The full $146,580 is a current liability. This significantly increases the company's immediate obligations.*

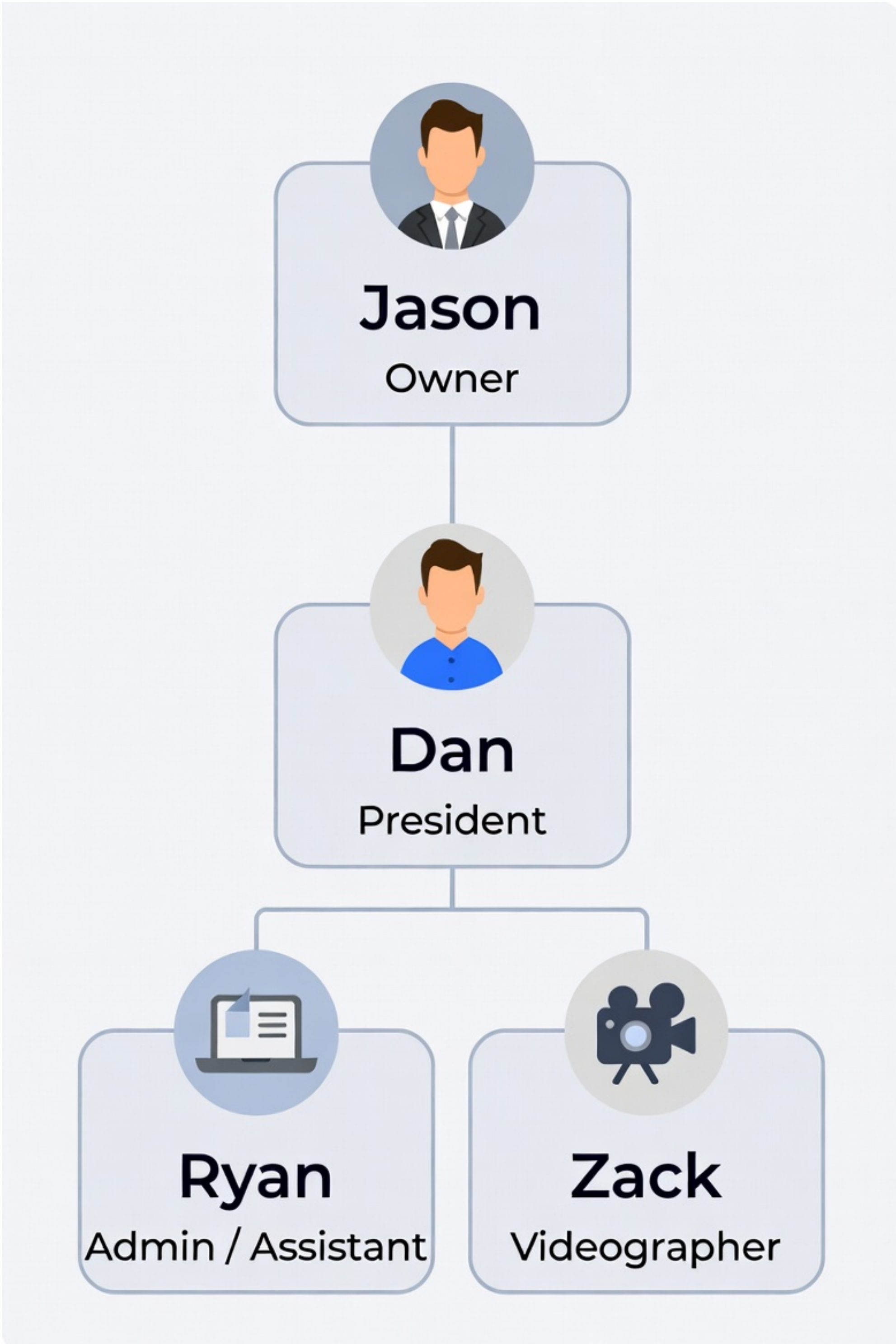
CURRENT OPERATIONAL & LEADERSHIP STATUS

The following facts reflect the actual state of the business as provided for this assessment:

- **Owner (Jason)** — Not actively present or engaged in day-to-day operations.
- **No events booked** — Zero pipeline of revenue-generating work.
- **Digital presence nonexistent** — Social media accounts, website, and business listing pages are not active or up to date.
- **President (Dan)** — Does not have a dedicated office. Has not been running regular meetings or actively meeting/recruiting new talent.
- **Studio equipment & engineering** — The studio has been operating with gear and music equipment belonging to Colin (external engineer/producer). Colin has been providing his time and expertise.
- **Colin status** — Not considered a strong long-term cultural or strategic fit with the team. He is completing work on a record and will be parting ways at the end of June 2026.
- **New team additions** — **Tyler** (Editor & Audio Technician) and a **Social Media Expert** (former day laborer) have been added to strengthen post-production and finally launch the missing digital presence, website, and social channels.
- **Cash flow** — **$0** (no revenue).
- **Overall position** — **Only liabilities** on the books with no offsetting assets or revenue streams currently active.

NOMINAL TEAM STRUCTURE (FOR REFERENCE)

The organizational chart below reflects intended titles. **Actual current status differs significantly** from this nominal structure (see details above and team status table).


Jason
Owner
Dan
President
Ryan
Admin / Assistant
Zack
Videographer

DETAILED TEAM STATUS — JUNE 20, 2026

Name	Title	Current Status	Key Issues
Jason	Owner	**Absent / Not Engaged**	No active involvement in operations or leadership
Dan	President	**Not On-Site**	No dedicated office; not running meetings; not meeting new talent
Ryan	A&R; (Artists and Repertoire)	**Available**	Scouting talent & overseeing artistic development of recording artists — vital bridge between creative vision and commercial goals
Zack	Videographer	**Available**	Core creative role; activity level not detailed
Colin	Engineer / Producer	**Departing June 30**	Owns gear & music equipment; not strong team fit; finishing record
Tyler	Editor & Audio Technician	**New Addition**	Recently joined to strengthen editing, audio, and post-production capabilities
Alex*	Social Media Expert (former day laborer)	**New Addition**	*Name placeholder — recently joined to build website, social media presence, and online visibility

** Social Media Expert's actual name is a placeholder ("Alex"). Please provide the correct name and I will regenerate the report instantly. The net loss summary now includes Tyler and the Social Media Expert in the full 6-person calculation ($146,580 total).*

NET LOSS / LABOR BURN REPORT

Period: January 1, 2026 – June 20, 2026 (24.43 weeks)

Methodology: All labor is valued at the specified rate of **$25.00 per person per hour** for a standard **40-hour work week**. This produces a notional weekly cost of **$1,000 per person**. The calculation covers the full period from the start of 2026 through the current date. Because the business has generated **$0 revenue** during this time, the cumulative figure represents a **net operating loss** on a labor-valuation basis. Additional real liabilities (rent, utilities, insurance, any equipment obligations, etc.) are not included in these numbers and would increase the total loss.

Note on team expansion: The net loss calculation summary has been updated to include all current team members (Tyler and the Social Media Expert added). The full team of 6 is now reflected in the $146,580 cumulative figure and $6,000 weekly burn rate.

Team Member	Role	Weekly Cost	Weeks	Cumulative Cost	Status Note
Dan	President	$1,000	24.43	**$24,430**	No office; limited activity
Ryan	A&R; (Artists and Repertoire)	$1,000	24.43	**$24,430**	Scouting talent & artistic development
Zack	Videographer	$1,000	24.43	**$24,430**	-

Colin	Engineer / Producer	$1,000	24.43	**$24,430**	Departing June 30; own gear
Tyler	Editor & Audio Technician	$1,000	24.43	**$24,430**	New addition — post-production & audio
Alex*	Social Media Expert (former day laborer)	$1,000	24.43	**$24,430**	*Name placeholder — new addition for digital presence
TOTAL (6 people)	**-**	**$6,000/wk**	**24.43**	**$146,580**	**Net Loss (labor only)**

DAILY BURN RATE (for planning reference)

Assuming a standard 5-day business week (40 hours ÷ 5 days = 8 hours/day):
• **Per person daily cost:** $25/hr × 8 hrs = **$200 per person per business day**
• **4-person daily burn:** $800 per business day
• Over the 171 calendar days in the period, this equates to the $97,720 cumulative figure shown above.

KEY RISKS, LIABILITIES & STRATEGIC OBSERVATIONS

• **Complete revenue pipeline failure** — No events booked and no visible path to near-term cash flow.

• **Zero digital footprint** — Without a live website, active social channels, or business listings, the company cannot be discovered by potential clients.

• **Leadership vacuum** — Owner absent; President without office or regular on-site presence. No one is actively steering operations or talent development.

• **Critical dependency on departing contractor** — The studio's gear, music equipment, and engineering capability are tied to Colin, who is leaving June 30 and is not viewed as a long-term fit. Loss of access to this equipment and expertise creates an immediate capability gap.

• **Accumulated loss position** — At least $97,720 in notional labor cost with $0 revenue. Real cash liabilities (rent, utilities, any outstanding obligations) add to this burden.

• **No defined business model clarity** — It is unclear whether the business is positioned as video production, music recording, hybrid content creation, or something else. This ambiguity makes marketing and sales nearly impossible.

RECOMMENDED IMMEDIATE ACTIONS

1. Ownership & Leadership Decision — Jason and Dan must clarify commitment level and presence. Either establish consistent on-site leadership with a dedicated office for Dan, or formally appoint an acting operator.

2. Colin Transition Plan (Urgent — by June 30) — Decide whether to purchase Colin's gear/equipment, negotiate a transition of ongoing projects, or accept the loss of studio capability. Document any agreements in writing.

3. Digital Presence Launch (Within 7–14 days) — **Leverage the newly added Social Media Expert (former day laborer)** to immediately deploy a minimal viable website and active social channels (Instagram, TikTok, YouTube, or LinkedIn). This directly addresses the current total lack of online presence.

4. Define the Business Clearly — Write a one-paragraph positioning statement: What do we actually sell, to whom, and why are we different? Use this to guide all future marketing and booking efforts.

5. 90-Day Revenue Plan or Pause Decision — Create a realistic plan to book paying work within 90 days. If that is not feasible, consider a structured pause, asset sale, or wind-down to stop the loss accumulation.

6. Financial Cleanup — Compile a full list of actual liabilities (rent, utilities, insurance, any loans or vendor obligations) and outstanding receivables (if any). This full picture is needed before any investor, lender, or partner discussions.

FINAL NOTE: This assessment is provided as a factual planning tool. The numbers and observations are derived directly from the information supplied. The business, in its current configuration and activity level, is not generating value and is accumulating loss. Turning this around will require decisive action on leadership presence, digital visibility, the Colin transition, and a clear revenue strategy — or an equally decisive decision to restructure or exit.

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